FREE FINANCING GUIDE

HUD 223(f) Loan Guide

Why Leverage and Amortization Still Beat Every Other Permanent Program in 2026, What the Timeline Trade-Off Really Looks Like, and the Metrics That Drive Approvals

Prepared by K2 Commercial Finance

Investor & Business Loans · k2commercialfinance.com

PAGE 1

Why HUD 223(f) Is a Genuine Tool for Maximum Leverage and Term

HUD 223(f) exists to give stabilized multifamily and eligible healthcare properties access to leverage and amortization that no conventional or agency permanent program can match — the trade-off being a longer, more document-intensive process backed by full FHA insurance. 2026 continues to reward borrowers who can commit to that timeline with genuinely favorable pricing and terms.

- **Leverage runs meaningfully higher than agency or conventional permanent financing.** Market-rate properties can reach 87% LTV, while affordable and rental-assistance properties can reach 90% — a genuine structural advantage over Fannie Mae/Freddie Mac's 75%–80% caps.
- **Green buildings price meaningfully tighter.** As of August 19, 2026, green-certified properties price at 5.62% versus 6.02% for standard buildings — a 40 basis point advantage plus a lower mortgage insurance premium (0.25% vs. 0.60%).
- **Terms run up to 35 years, fully amortizing.** This is longer than almost any other permanent execution, directly lowering monthly debt service versus a 25- to 30-year amortization schedule.
- **DSCR minimums are genuinely accessible.** Market-rate properties qualify at 1.15x, and affordable properties at just 1.11x — both notably lower than the 1.20x–1.25x typical of agency execution.
- **HUD insures the loan, which is why pricing and leverage can be this favorable.** The FHA insurance backing is what allows lenders to offer the combination of high leverage, long amortization, and fixed-rate certainty this program is known for.

That said, the trade-off is time, not terms. In 2026, HUD 223(f) closings are averaging 9 to 12 months, breaking down into roughly 2 months for application submission, 2 to 4 months waiting for HUD's firm commitment, and 2 months to closing — best-case, well-prepared deals can close in as little as 4.5 months. Rates can't be locked until HUD issues its commitment (typically 3 to 4 months in), which introduces genuine rate uncertainty during the process, and minimum loan size is $1 million. 223(f) rewards borrowers who prioritize leverage, term, and rate certainty over speed.

PAGE 2

2026 Market Outlook for HUD 223(f) Financing

HUD 223(f) enters the second half of 2026 offering leverage and amortization few other permanent programs can match, with a processing timeline that remains the program's defining trade-off. The following figures outline where the market stands:

- HUD 223(f) rates as of August 19, 2026: 5.62% for green-certified buildings and 6.02% for standard buildings, both on a 35-year fixed term; mortgage insurance premium runs 0.25% for green buildings versus 0.60% for standard buildings, both incorporated into the effective monthly cost.

  Source: ApartmentLoanStore.com, HUD 223(f) Loan Rates, August 2026

- Maximum leverage varies by property affordability designation: 87% LTV for market-rate properties, and 90% LTV for both affordable and rental-assistance properties; minimum DSCR runs 1.15x for market-rate properties and 1.11x for affordable properties — both notably lower than typical agency minimums.

  Source: Commercial Real Estate Loans, HUD 223(f) Loans, 2026

- Loan term runs 10 to 35 years, capped at 75% of the property's remaining estimated economic life, whichever is less; older properties (25+ years) with deferred maintenance may receive shorter 25- to 30-year terms; minimum loan size is $1 million, with case-by-case exceptions possible.

  Source: Commercial Real Estate Loans, 2026

- Closing timelines remain the program's defining trade-off: 2026 closings are averaging 9 to 12 months, breaking down into roughly 2 months for application submission, 2 to 4 months awaiting HUD's firm commitment, and 2 months to closing — best-case, well-prepared deals can close in as little as 4.5 months, though government processing alone typically runs 100 to 120 days.

  Source: HUD223f.loans, HUD 223(f) Loan Closing Timeline, 2026

- Rates cannot be locked until HUD issues its firm loan approval — typically 3 to 4 months into the process — which introduces genuine rate uncertainty; a 0.50% rate lock deposit is required once locking becomes available.

  Source: ApartmentLoanStore.com, 2026

Bottom line for 2026: HUD 223(f) enters the second half of 2026 offering leverage and amortization that few other permanent programs can match — up to 90% LTV for affordable properties and full 35-year amortization, with green buildings pricing as low as 5.62%. But the trade-off is real: closings are averaging 9 to 12 months in 2026, and rate uncertainty persists until HUD's firm commitment arrives. This is a program for sponsors who value maximum leverage and long-term rate certainty over speed, and who can commit to the more detailed documentation and property condition review the government-insured process requires.

PAGE 3

Critical Metrics for HUD 223(f) Financing

HUD and its MAP-approved lenders underwrite to standards built around long-term insurance risk, not just the deal's current economics. The following metrics most often determine whether a request moves forward:

1. **Property Stabilization and Trailing Operating History**
   Solid, documented operating performance is expected; active lease-up or heavy renovation properties generally don't qualify for standard 223(f).

2. **Debt Service Coverage Ratio**
   The qualifying coverage threshold, which is notably more accessible than agency minimums. **1.15x (market-rate properties); 1.11x (affordable properties)**

3. **Loan-to-Value by Property Type**
   Maximum leverage available, which is meaningfully higher than agency or conventional permanent execution. **up to 87% (market-rate); up to 90% (affordable/rental-assistance)**

4. **Rate by Building Certification**
   Pricing available depends on whether the property qualifies for HUD's green designation. **5.62% (green, August 2026); 6.02% (standard); MIP 0.25% (green) vs. 0.60% (standard)**

5. **Property Condition and PCNA Compliance**
   Whether the property can meet HUD's physical condition standards, assessed through a Project Capital Needs Assessment.

6. **Loan Term, Amortization, and Loan Size**
   Structural terms available, which scale with the property's remaining economic life. **10–35 year term (or 75% of remaining economic life, whichever is less); $1M minimum loan size**

7. **Processing and Closing Timeline**
   How long the HUD review and firm commitment process realistically takes. **9–12 months average (2026); as fast as 4.5 months best-case**

These metrics form the practical filter that separates HUD 223(f) financing requests that get funded from those that stall in underwriting.

PAGE 4

Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching a HUD-approved lender, confirm:

- [ ] Trailing operating statements and detailed rent roll are organized
- [ ] Property condition information is available, and you're prepared to complete a PCNA
- [ ] Borrower/sponsor experience and financial statements are current
- [ ] Existing debt schedule is prepared (for refinances)
- [ ] Preliminary market and valuation information is gathered
- [ ] Entity documents and organizational structure are current
- [ ] You have a clear understanding of HUD's repair and reserve requirements
- [ ] You've engaged a HUD-approved MAP or TAP lender early in the process

Common Reasons HUD 223(f) Financing Requests Underperform or Get Declined

- Property fails to meet HUD's physical condition standards identified in the PCNA
- DSCR or LTV requested falls outside HUD guidelines for the property's affordability designation
- Incomplete or inconsistent trailing operating statements and rent roll
- Sponsor is unprepared for the documentation and compliance demands of the HUD process
- Unrealistic timeline expectations lead to a stalled or abandoned application

Final Perspective

HUD 223(f) in 2026 remains a genuinely unmatched tool for sponsors who prioritize leverage and amortization — up to 90% LTV, 35-year fully amortizing terms, and rates as low as 5.62% for green buildings are advantages no conventional or agency program fully replicates. But because the loan is government-insured, the deals that close most smoothly are the ones where property condition, trailing financials, and sponsor documentation are all clean and complete before the application goes in — and where the borrower goes in with realistic expectations about the 9- to 12-month timeline.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Property condition issues, incomplete trailing financials, and unrealistic timeline expectations are among the most common reasons otherwise solid HUD 223(f) requests lose time, money, and momentum.

YOUR NEXT STEP

How the K2 Lender-Ready System Helps

If you're serious about securing financing for commercial property, investment property, or your business, you owe it to yourself to use a system that's been developed over 26 years of commercial mortgage brokering.

This is the exact system K2 Commercial Finance has used to help clients secure more than $100 million in financing. It is designed to save you time, energy, and effort — and to put you immediately in front of the lenders most likely to fund your specific deal.

For $49.99, you get six months of full access to the complete K2 Lender-Ready System — including:

- **Preferred Lender Directory** — Curated lenders who have shown appetite for commercial real estate and business loans, matched to your property type and loan program.
- **AI Prep Coach** — Dozens of targeted prompts to help you present your transaction more clearly, position yourself as a stronger borrower, analyze lender offers, and negotiate with confidence.
- **Password-protected Deal Room** — Securely store and share documents in one private workspace.
- **Document Library** — A complete collection of documents, forms, checklists, and templates lenders commonly request.
- **Submission Tracker** — Know exactly where each file stands so nothing falls through the cracks.

Even with solid information, success still depends on approaching the right lenders with a properly prepared package. The K2 Lender-Ready System gives you both.

Learn More About the K2 Lender-Ready System →

Seven-Day Ready or Refund Guarantee

K2 Commercial Finance

Investor & Business Loans · k2commercialfinance.com